APPLIED LAW | FINANCE RELATED ACTS

Securities Act, 2063

धितोपत्र सम्बन्धी ऐन, २०६३

For Application / CAP II Level

With coverage of Learning Objective (LO) as per new syllabus

By CA Govinda Tamang

With latest amendment

Syllabus Weightage

Applied Law



	Syllabus Area	Weighting (%)
1	**Nepal Chartered Accountants Act, 2053,** rules and Government Audit	10%
2	**Industry Related Acts:** Companies Act, 2063, Industrial Enterprises Act, 2076 and Foreign Investment and Technology Transfer in Nepal	30%
3	**Finance Related Acts:** Banks and Financial Institutions Act, 2073, Nepal Rastra Bank, 2058, Insurance Act, 2079 and Securities Act, 2063 and rules	30%
4	**Labour Act, 2074 and Other Acts Related to Employment**	10%
5	**The National Civil (Code), 2074 (Part V)**	10%
6	**Acts related to Social Organizations**	5%
7	**Understanding public procurement in Brief**	5%

Total Weightage — **100%**

LEARNING OUTCOMES (OVERALL): SECURITIES ACT, 2063

Candidates will be able to understand objectives and definition of related terms of the Act, explain the meaning and concept of Securities and Stock Exchanges, issue of securities and its transactions.

In the assessment, candidates may be required to:

a	State the objectives along with definition of the related terms of the Act and explain the formation of Securities Board of Nepal.	Section 1 – 26
b	Interpret and evaluate the registration and issuance of securities.	Section 27 – 35
c	Interpret and analyse the provisions relating to Stock Exchange.	Section 36 – 55
d	Recognize and explain the provisions relating to License to carry on Securities Business.	Section 56 – 70
e	Interpret and evaluate relevant provisions of Securities Regulation.	Securities Regulation, linked to Section 1 – 70

INTRODUCTION TO THE SECURITIES ACT, 2063
(नेपाल धितोपत्र ऐन, २०६३)

AN ACT TO AMEND & CONSOLIDATE LAWS RELATING TO SECURITIES

1 KEY DATES & DETAILS (महत्वपूर्ण मिति र विवरण)



- Date of Authentication & Publication: 30 Paush 2063 (३० पौष २०६३)
- Act Number: 33 of 2063 (ऐन संख्या ३३, २०६३)
- Commencement Date: 6 Ashoj 2063 (६ असोज २०६३)

2 LIST OF AMENDMENTS (संशोधनहरूको सूची)



1. Amendments to the Nepal Act, 2072 (नेपाल ऐन संशोधन गर्ने ऐन, २०७२) [Date: 2072/11/13]



2. Amendment to the Prevention of Money Laundering and Promotion of Business Environment Act, 2080 (सम्पत्ति शुद्धीकरण निवारण तथा व्यावसायिक वातावरण प्रवर्द्धन ऐन, २०८० मा संशोधन) [Date: 2080/12/30]

3 OBJECTIVES FROM PREAMBLE (प्रस्तावनाका उद्देश्यहरू)



REGULATE SECURITIES MARKETS & ISSUANCE (धितोपत्र बजार र निष्काशन नियमन गर्ने)



PROTECT INVESTORS' INTERESTS (लगानीकर्ताको हित संरक्षण गर्ने)

DEVELOP CAPITAL MARKET FOR ECONOMIC GROWTH (आर्थिक विकासका लागि पुँजी बजारको विकास गर्ने)

4 KEY FOCUS AREAS (प्रमुख फोकस क्षेत्रहरू)



MARKET MANAGEMENT (बजार व्यवस्थापन)



ISSUANCE & TRADING (निष्काशन र कारोबार)



DEALING BUSINESS (व्यवसायको कारोबार)



ECONOMIC DEVELOPMENT (आर्थिक विकास)

State the objectives along with definition of the related terms of the Act and explain the formation of Securities Board of Nepal. (Section 1 – 26)

LO	Syllabus content	Technical grid reference
LO 3a (1/2)	❖ Preamble, short title and commencement ❖ Definitions ❖ Establishment of board ❖ Board to be an autonomous and body corporate ❖ Functions, duties and powers of the board ❖ Meeting and decision of board ❖ Appointment of chairperson ❖ Functions, duties and powers of the chairperson ❖ Remuneration, meeting allowance and other facilities of chairperson and member ❖ Qualification of chairperson and member ❖ Disqualification of chairperson and member ❖ Removal of chairman or member ❖ Resignation of chairperson and member ❖ Vacancy in the office of chairman or member	Section 1 to 14 of the Securities Act, 2063

OVERVIEW: SECURITIES ACT, 2063 (NEPAL)

1. SHORT TITLE & COMMENCEMENT

(1) This Act may be referred to as the **"Securities Act, 2063".**

(2) This Act shall be deemed to have been commenced from **Asoj 6, 2063.**

2. DEFINITIONS (Unless context requires otherwise)



CHAIRPERSON

(a) **"Chairperson"** means the chairperson of the Board appointed under Section 7.



LICENSE

(b) **"License"** means the license issued by the Board under this Act to operate the stock exchange or securities business.



COMPANY

(c) **"Company"** means a company incorporated under the company laws in force.



DEPOSITORY

(d) **"Depository"** means a bank or financial institution that makes an agreement with the scheme manager and thereby undertakes the responsibility of providing custodial services such as safely holding and operating the assets of any collective investment scheme.



PRESCRIBED

(e) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.



SECURITIES

(f) **"Securities"** means any shares, stocks, bonds, debentures, debenture stocks or collective investment scheme certificate issued by a body corporate, or treasury bonds, savings bonds or bonds issued by the Government of Nepal or by a body corporate against the guarantee of the Government of Nepal, and this term also includes such other securities as may be specified by the Board to be transacted or transferable through the stock exchange, or the instrument to purchase, sell or exchange such securities.

OVERVIEW: SECURITIES ACT, 2063 (NEPAL) - CONTINUED DEFINITIONS

Section 2: Definitions (contd..)



(g) Securities transactions

"Securities transactions" means the issue, purchase, sale or exchange of securities and other acts pertaining thereto.



(h) Registration of securities

"Registration of securities" means the registration of securities by a body corporate with the Board pursuant to Section 27.



(i) Stock exchange

"Stock exchange" means a market, place or facility performing the purchase, sale or exchange of securities on a regular basis by bringing together the purchasers and sellers of securities.



(j) Securities busi-

"Securities business" means transactions in securities to be carried on by any company or body licensed to carry on the securities business under this Act.



(k) Securities business person

"Securities business person" means a company or body licensed under Section 58 to carry on securities business.



(l) Issuance

"Issuance" means a proposal made by a body corporate to issue additional securities for the purpose of increasing its capital and acts related thereto, and this term also includes the act of issuing securities to promoters.



(m) Private placement

"Private placement" means an act to make an offer by a letter, dispatch or any electronic communication media for the sale of securities to a maximum of fifty investors.



(n) Board

"Board" means the Nepal Securities Board established under Section 3.

(o) Exchange

"Exchange" means an act concerning the purchase, sale or transfer of securities already issued and allotted pursuant to this Act.



(p) Prospectus

"Prospectus" means a prospectus required to be published by a body corporate pursuant to Section 30 prior to the public issue of securities.



(q) Scheme manager

"Scheme manager" means a body corporate managing a collective investment scheme of participants with an object to provide an efficient investment service pursuant to this Act.

Asoj 6, 2063

OVERVIEW: SECURITIES ACT, 2063 (NEPAL) - FURTHER DEFINITIONS

Section 2: Definitions (contd..)



(r) INVESTMENT FUND

(r) "Investment fund" means a fund created out of amounts deposited by participants in a collective investment scheme in accordance with a contract, as has been taken in its custody by a scheme manager with the object to provide an efficient investment service, or assets related with such a fund, and this term also includes a fund which the scheme manager has taken in its responsibility in accordance with this Act, or additional assets created from management of investment of assets and amount accumulated by way of consideration.



(s) PARTICIPANT

(s) "Participant" means a person or body that makes investment in a collective investment scheme operated by a scheme manager pursuant to this Act.



(t) MEMBER

(t) "Member" means a member of the Board, and this term also includes the chairperson.



(u) BODY CORPORATE

(u) "Body corporate" means a body corporate established under the laws in force so as to be competent to make a public issue of securities.

Provided that, it shall not include a private limited company or a cooperative institution.





(v) PUBLIC ISSUE

(v) "Public issue" means an offer made by a body corporate before the general public for the sale of its securities by publishing a prospectus.



(w) COLLECTIVE INVESTMENT SCHEME (CIS)

(w) "Collective investment scheme" means such an investment fund, unit trust or similar other participatory fund management program as specified by the Board from time to time, as may be operated by a scheme manager in accordance with this Act in order to distribute proportionately to the participants of the concerned program the returns accrued from the efficient investment service on saving investment amount which has been undertaken in custody of the manager and so mobilized that various persons or bodies have participation in it.



(x) ENLISTING

(x) "Enlisting" means the enlisting of securities on a stock exchange for the purposes of purchasing, selling or exchanging securities through the the stock exchange.



(y) RIGHT ISSUE

(y) "Right issue" means an offer made to the existing shareholder or any person nominated by such shareholder for the purchase of any securities issued by a body corporate.

Asoj 6, 2063

3. Establishment of Board:

(1) **Nepal Securities Board** shall be established to regulate and manage securities markets, ensure proper issue, purchase, sale and exchange of securities, develop capital market and protect investors' interests.

(2) Board shall consist of the following members:

Clause	Member	Capacity
(a)	A person appointed by the Government of Nepal	Chairperson
(b)	Joint Secretary, Ministry of Finance	Member
(c)	Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs[1]	Member
(d)	Representative, Nepal Rastra Bank	Member
(e)	Representative, Institute of Chartered Accountants of Nepal	Member
(f)	Representative, Federation of Nepalese Chambers of Commerce and Industries	Member
(g)	One person nominated by the Government of Nepal from amongst the experts with at least master's degree in economics, management, finance, commerce or law and 7+ years' experience in stock exchange, capital market, finance and economic sector.	Member

Additional Provisions

3. Nominees (e) & (f) must have at least Bachelor's degree and 7+ years' experience.
4. Term of office of member under clause (g): **3** years.
5. Vacancy in office does not affect Board's acts.

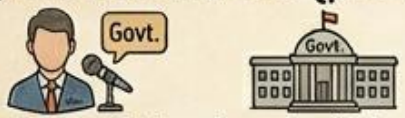
6. Any officer/employee designated by the Board shall act as Secretary.
7. Board may invite any expert or adviser as an observer.
8. **Central office:** Kathmandu Valley, and may open branch or contact office elsewhere.

4. Board to be an Autonomous and Body Corporate:

1. The Board shall be an **autonomous body corporate** having perpetual succession.
2. The Board shall have a **separate seal** of its own for all its acts and proceedings.
3. The Board may, like an individual, acquire, use, purchase, sell, or otherwise deal with, any movable and immovable **property**.
4. The Board may, like an individual, **sue** by its own name and be also sued by the same name.

FUNCTIONS, DUTIES AND POWERS OF SEBON BOARD
(नेपाल धितोपत्र बोर्डको कार्य, कर्तव्य र अधिकार) Sec 5

Policy & Advisory Role
(नीति र सल्लाहकार भूमिका)



Advise Govt. of Nepal on capital market development matters
(पूँजी बजार विकास मामिलामा नेपाल सरकारलाई सल्लाह दिने)

Securities Registration & Regulation
(धितोपत्र दर्ता र नियमन)



Register corporate securities
(कर्पोरेट धितोपत्र दर्ता गर्ने)



Regulate issue, transfer, sale, and exchange
(निष्कासन, हस्तान्तरण, बिक्री र विनिमयको नियमन गर्ने)

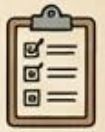
Stock Exchange Control
(स्टक एक्सचेन्ज नियन्त्रण)



Grant permission, regulate, monitor stock exchanges
(स्टक एक्सचेन्जहरूलाई अनुमति दिने)



Inspect compliance with Act/rules
(ऐन/नियमहरूको पालनाको)



Suspend/ revoke licenses
(इजाजतपत्र निलम्बन गर्ने)

Securities Business Licensing
(धितोपत्र व्यवसाय इजाजतपत्र)



Issue licenses to securities business companies
(धितोपत्र व्यवसायी कम्पनीहरूलाई)



Regulate and monitor persons
(व्यवसायीहरूको नियमन र अनुगमन गर्ने)

Classification & Standards
(वर्गीकरण र मापदण्डहरू)



— Ladders of functions
— Performance



Classify persons and set standards
(व्यवसायीहरूलाई वर्गीकृत गर्ने र मापदण्ड तोक्ने)

Collective Investment
(सामूहिक लगानी)



Common Pools



Approve and regulate collective investment schemes & funds
(सामूहिक लगानी योजना र कोष स्वीकृत र नियमन गर्ने)

Regulatory Approval & Direction
(नियामक स्वीकृति र निर्देशन)



- Approve bye-laws
  (उपनियमहरू स्वीकृत गर्ने)
- Direct amendments for market and investors
  (बजार र लगानीकर्ताहरूको लागि संशोधन निर्देशित गर्ने)

Market Operations & Systems
(बजार सञ्चालन र प्रणालीहरू)



Systematize securities account clearance
(धितोपत्र खाता राफसाफलाई व्यवस्थित गर्ने)



Regulate trading volume and methods
(कारोबार मात्रा र विधिहरूलाई नियमित गर्ने)

Investor Protection & Compliance
(लगानीकर्ता संरक्षण र अनुपालन)



- Prevent insider trading and offences
  (इनसाइडर ट्रेडिंग र अपराध रोक्ने)
- Review financial statements
  (वित्तीय विवरणहरूको समीक्षा गर्ने)



Transparency & Ownership Control
(पारदर्शिता र स्वामित्व नियन्त्रण)

Coordination (समन्वय)

Other Functions (अन्य कार्यहरू)

The Board: Meeting & Decision (Sec 6)



Frequency

- Chairperson calls meetings as needed
- At least 1 meeting per month



Schedule

- Date, time & place decided by Chairperson



Presiding

- Chairperson presides
- If absent, one of the members chairs the meeting



Special Request

- If at least 2 members request in writing
- Chairperson must call meeting within 7 days



Quorum & Decision

- More than 50% members must be present
- Decisions by majority vote
- In case of tie, Chairperson has casting vote



Records

- Separate minute book maintained
- Records: members present, discussions, decisions
- Must be signed by attending members



Decision Authentication

- Certified by Board Secretary
- Circulated to all members



Other Procedures

- Board may define its own meeting procedures

Appointment of Chairperson (Sec 7)



Appointing Authority

Government of Nepal appoints Chairperson

Qualifications





- Minimum Master's degree
- At least 7 years' experience in:
  - Stock exchange management
  - Capital market development
  - Economics, finance, commerce, management or law



If the Chairperson's office is vacant, or the Government removes the Chairperson under S.7(7), or the Chairperson cannot work because of suspension, the member representing the **Ministry of Finance acts as Chairperson.**

Recommendation Committee



- Led by a member of National Planning Commission (concerned sector)

Selection Process



- Committee recommends at least 3 qualified candidates
- Committee sets its own working procedures

Term & Removal



- Term: 4 years
- Reappointment: max 4 more years
- Removal: by inquiry committee

FUNCTIONS, DUTIES & POWERS OF THE CHAIRPERSON (SEC. 8)
अध्यक्षका काम, कर्तव्य र अधिकारहरू (दफा ८)

Regulation & Governance



PROTECTION OF INVESTOR INTERESTS
लगानीकर्ताको हितको संरक्षण
- Necessary for capital market development
- पूँजी बजार विकासको लागि आवश्यक



REGULATE & MONITOR STOCK EXCHANGES
धितोपत्र बजारको नियमन र अनुगमन
- Make security transactions strengthhened, effective, and reliable
- कारोबारलाई सुदृढ, प्रभावकारी र विश्वसनीय बनाउने



ACT AS EXECUTIVE CHIEF OF THE BOARD
बोर्डको कार्यकारी प्रमुखको रूपमा कार्य गर्ने

Planning & Meetings



SUBMIT LONG & SHORT-TERM PLANS/POLICIES
दीर्घकालीन र अल्पकालीन योजना तथा नीतिहरू पेस गर्ने
- For stock exchange management and capital market development
- बजार व्यवस्थापन र पूँजी बजार विकासको लागि



CALL & PRESIDE BOARD MEETINGS
बोर्डको बैठक बोलाउने र अध्यक्षता गर्ने



PREPARE ANNUAL PROGRAMS & BUDGET
वार्षिक कार्यक्रम र बजेट तयार गर्ने

Operations & Implementation



IMPLEMENT BOARD DECISIONS
बोर्डको निर्णय कार्यान्वयन गर्ने



INSPECT & SUPERVISE DAY-TO-DAY BUSINESS
दैनिक व्यवसायको निरीक्षण र सुपरिवेक्षण गर्ने



APPOINT ADVISERS & EMPLOYEES
सल्लाहकार र कर्मचारीहरू नियुक्त गर्ने



PERFORM OTHER ENTRUSTED FUNCTIONS
तोकिएका अन्य कार्यहरू सम्पादन गर्ने

SECTION 8

*Functions other than those referred to above shall be as prescribed.

माथि उल्लिखित कामहरू बाहेकका कामहरू तोकिए बमोजिम हुनेछन्।

SEC. 9: REMUNERATION & FACILITIES | पारिश्रमिक र सुविधाहरू

- Chairperson & Member Remuneration
  अध्यक्ष र सदस्यको पारिश्रमिक
- Meeting Allowance
  बैठक भत्ता
- Other Facilities
  अन्य सुविधाहरू
- Daily & Traveling Allowance (in/out Nepal)
  दैनिक र भ्रमण भत्ता (नेपाल भित्र वा बाहिर)



As Prescribed

SEC. 10: QUALIFICATIONS | योग्यताहरू

- One who is a Citizen of Nepal
  नेपालको नागरिक
- High Moral Character
  उच्च नैतिक चरित्र
- At least 7 Years Professional Experience
  कम्तिमा सात वर्षको व्यावसायिक अनुभव
  - Fields: Stock Exchange, Capital Market, Economics, Finance, Commerce, Management, or Law.
- Not Disqualified under Section 11
  दफा ११ अन्तर्गत अयोग्य नभएको



SEC. 11: DISQUALIFICATIONS | अयोग्यताहरू

- Office-bearer of a Political Party
  राजनीतिक दलको पदाधिकारी
- A Person Involved in Securities Business
  धितोपत्र व्यवसायमा संलग्न व्यक्ति
- Adjudicated as an Insolvent
  टाट पल्टेको घोषणा गरिएको
- One who is Insane
  पागल
- Convicted by Court of Moral Turpitude Offense
  नैतिक पतन देखिने फौजदारी अभियोगमा अदालतबाट दोषी ठहरिएको



SEC. 12: REMOVAL CIRCUMSTANCES | पदबाट हटाउने परिस्थितिहरू

- Government of Nepal Removals | नेपाल सरकारले पदबाट हटाउने छ
- Proviso: Reasonable Opportunity to Defend | प्रतिरक्षाको उचित अवसर



- (a) Disqualified under Section 11
  दफा ११ बमोजिम अयोग्य भएमा
- (b) Acts Contrary to Investor Interest or Causes Capital Market Loss
  धितोपत्र लगानीकर्ताको हित विपरीत वा पूँजी बजारलाई हानि पुऱ्याउने काम गरेमा
- (c) Lack of Competence to Implement Board Functions
  बोर्डको उद्देश्य प्राप्तिका लागि तोकिएका कामहरू कार्यान्वयन गर्ने क्षमता नभएमा
- (d) Held Disqualified to Carry on Occupation/Business due to Misconduct
  व्यावसायिक वा पेशागत प्रमाण-पत्र रद्द भएमा वा व्यवसाय गर्न रोक लगाइएमा
- (e) Absent from 3 Consecutive Meetings without Notice
  जानकारी बिना लगातार तीनवटा बैठकमा अनुपस्थित भएमा



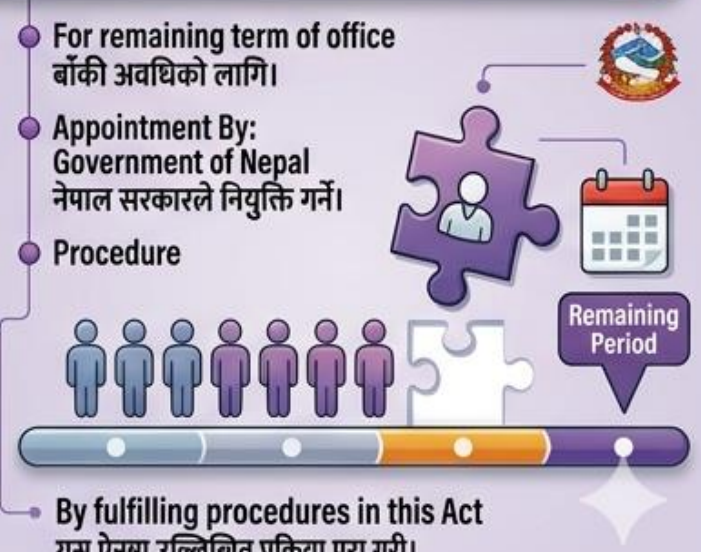
SEC. 13: RESIGNATION | राजीनामा

- chairperson or member may relieve of office
- Tendering written resignation to Government of Nepal
  नेपाल सरकार समक्ष लिखित राजीनामा दिई पदबाट मुक्त हुन सक्नेछ।



SEC. 14: FULFILLMENT OF VACANCY | रिक्त पदको पूर्ति

- For remaining term of office
  बाँकी अवधिको लागि।
- Appointment By: Government of Nepal
  नेपाल सरकारले नियुक्ति गर्ने।
- Procedure



- By fulfilling procedures in this Act
  यस ऐनमा उल्लिखित प्रक्रिया पुरा गरी।

State the objectives along with definition of the related terms of the Act and explain the formation of Securities Board of Nepal. (Section 1 – 26)

LO	Syllabus content	Technical grid reference
LO 3a (2/2)	❖ Proceeding not to be invalid ❖ Powers of board to form committee or sub-committee ❖ Delegation of powers ❖ Conflict of interest in any proposals ❖ Accounts experts, advisors and employees ❖ Oaths before appointment ❖ Secrecy ❖ Fund of board ❖ Provision of revolving (non-expedient) fund ❖ Accounts of the board ❖ Auditor and audit ❖ Annual report	Section 15 to 26 of the Securities Act, 2063

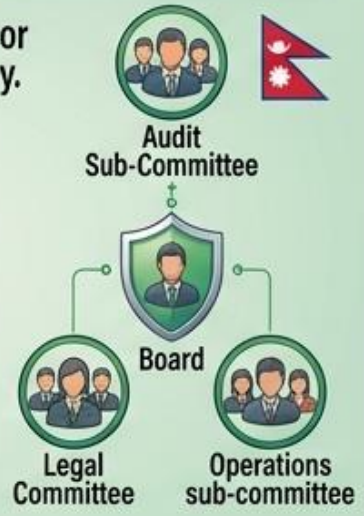
SEC. 15: PROCEEDING NOT TO BE INVALID | बैठक अमान्य नहुने

- Act or proceeding of Board valid despite minor defects.
  दोष भए पनि बैठक मान्य हुने।
- Minor defects: Appointment errors or Board formation issues.
  सामान्य दोष: नियुक्ति वा बोर्ड गठनका त्रुटी।
- Any vacancy in office does not invalidate proceedings.
  रिक्त पद भए पनि बैठक अमान्य नहुने।



SEC. 16: POWERS TO FORM COMMITTEES | समिति गठन गर्ने अधिकार

- Board may form committee or sub-committee as necessary.
  बोर्डले आवश्यकता अनुसार समिति गठन गर्न सक्छ।
- Specified Board member as coordinator.
  तोकिएको सदस्य संयोजक हुने।
- Functions, powers, allowance, procedures as prescribed by Board.
  समितिको काम, अधिकार, भत्ता, प्रक्रिया बोर्डले तोके बमोजिम।



SEC. 17: DELEGATION OF POWERS | अधिकार प्रत्यायोजन

- Board may delegate powers to Chairperson or any Member/Committee.
  बोर्डले अधिकार अध्यक्ष वा सदस्य/समितिलाई प्रत्यायोजन गर्न सक्छ।
- Chairperson may delegate powers to any Member, Committee, or Employee.
  अध्यक्षले अधिकार सदस्य, समिति वा कर्मचारीलाई प्रत्यायोजन गर्न सक्छ।



SEC. 18: CONFLICT OF INTEREST DISCLOSURE | स्वार्थको द्वन्द्व सम्बन्धी जानकारी

- Member must disclose personal interest before discussion.
  सदस्यले छलफल अघि व्यक्तिगत स्वार्थ जानकारी दिनुपर्ने।
- Member cannot participate or vote, unless permitted.
  अनुमति बिना सदस्य छलफल र मतदानमा सहभागी हुन पाउँदैन।
- But their presence is valid for quorum.
  तर उपस्थिति कोरमका लागि मान्य हुनेछ।



SEC. 19 & 20: STAFF & OATHS | कर्मचारी र सपथ

- Board has account experts, advisors, and employees.
  बोर्डमा लेखा विशेषज्ञ, सल्लाहकार र कर्मचारीहरू हुन्छन्।
- Conditions of service are prescribed.
  सेवाको शर्तहरू तोकिए बमोजिम।
- Take oath of secrecy and honesty before assuming office.
  पद सम्हाल्नु अघि गोपनीयता र इमानदारीको सपथ लिनुपर्ने।



SEC. 21: SECRECY | गोपनीयता

- Confidentially Supply Information - DO NOT DISCLOSE.
  गोप्य जानकारी आपूर्ति - नखुलाउने।
- Use for Personal Benefit - PROHIBITED.
  व्यक्तिगत लाभको लागि प्रयोग - निषेधित।
- Disclosure Circumstances: Public Duty, Assist Authority, Court Order, External Auditor.
  खुलाउन सकिने अवस्थाहरू: सार्वजनिक कर्तव्य, अधिकार सहायता, अदालतको आदेश, बाह्य लेखापरीक्षक।

यस ऐनमा उल्लिखित गोपनीयता कायम राख्ने।



FINANCIAL MANAGEMENT, AUDIT & REPORTING of THE BOARD

(Sections 22–26)

22 FUND OF THE BOARD

Government

SOURCES OF INCOME

- Loans/Grants (Govt. Approval)
- License Fees
- Securities Registration Fees
- Transaction Fees & Dues
- Fines
- Other Sources

OPERATIONAL RULES

- Commercial Bank Nepal
- Charged to this Fund
- Within Approved Budget
- Operation as Prescribed

23 REVOLVING FUND

ESTABLISHMENT

up from sources

INVESTMENTS

- Govt Securities
- Periodic Deposits

UTILIZATION

- Principal cannot be spent
- Income generated

24 & 25

ACCOUNTS OF THE BOARD (Sec. 24)

- Maintain Records
- Prepare Statements (Balance Sheet, Income/Exp)
- Complete within 6 Months

AUDITOR & AUDIT (Sec. 25)

Intl. Accounting Accounting Standards

Auditor General or Designated Auditor

- Audit Report confirms
  - TRUE AND FAIR VIEW (Inc/Exp)
  - ACTUAL FINANCIAL CONDITION (Bal Sheet)

26 ANNUAL REPORT

ANNUAL REPORT

Chairperson Submits to Board (within 4 months after fiscal year end)

- Copy to Government of Nepal
- MAKE PUBLIC EVERY YEAR

Interpret and evaluate the registration and issuance of securities. (Section 27 – 35)

LO	Syllabus content	Technical grid reference
LO 3b	❖ Registration of securities ❖ Sale and transfer of securities ❖ Securities to be issued publicly ❖ Prospectus to be published and its approval ❖ Matters to be referred to in prospectus ❖ Liability for matters referred to in prospectus ❖ A body corporate to make a notice to board ❖ Compensation for revocation of enlisting, if any	Section 27 to 35 of the Securities Act, 2063

SECURITIES REGISTRATION & ISSUANCE PROCESS (NEPAL) | धितोपत्र दर्ता र निष्कासन प्रक्रिया (नेपाल)

REGISTRATION & PUBLIC ISSUE (SEC. 27-29)
दर्ता र सार्वजनिक निष्कासन (दफा २७-२९)

STEP 1 REGISTER SECURITIES WITH BOARD | बोर्डमा धितोपत्र दर्ता



BODY CORPORATE



MEMORANDUM & ARTICLES OF ASSOCIATION

PRESCRIBED FEES

दर्ता पूर्व प्रक्रिया

NEPAL BOARD

27

STEP 2 APPLICATION & INQUIRY | आवेदन र जाँच



बोर्डले आवश्यक जाँच गरी प्रमाणपत्र दिन्छ

REGISTRATION CERTIFICATE

STEP 3 PUBLIC ISSUE NOTICE | सार्वजनिक निष्कासनको सूचना





INVESTORS

पचासभन्दा बढी व्यक्तिलाई बिक्री गर्दा सार्वजनिक निष्कासन

29

STEP 4 ALLOTMENT NOTICE | बाँडफाँडको सूचना





WITHIN 7 DAYS

धितोपत्र बाँडफाँड गरेपछि सात दिनभित्र जानकारी दिनुपर्छ

28

Notwithstanding, existing securities must register within one year.
यद्यपि, विद्यमान धितोपत्रहरू एक वर्षभित्र दर्ता हुनुपर्छ।

PROSPECTUS PUBLICATION & APPROVAL (SEC. 30-31)
विवरणपत्र प्रकाशन र स्वीकृति (दफा ३०-३१)

APPROVED PROSPECTUS MANDATORY
स्वीकृत विवरणपत्र अनिवार्य

सार्वजनिक निष्कासन गर्न बोर्डबाट स्वीकृत विवरणपत्र प्रकाशन गर्नुपर्छ



APPROVAL CRITERIA
स्वीकृतिका मापदण्ड

- ASSETS & LIABILITIES
- FINANCIAL STATUS
- PROFIT & LOSS
- EXPECTED MATTERS

लगानीकर्ताले मूल्यांकन गर्न पर्याप्त जानकारी

EXCEPTIONS TO PROSPECTUS
विवरणपत्र नचाहिने अवस्थाहरू

- NEPAL RASTRA BANK
- GOVERNMENT GUARANTEE
- <= THAN 50 PERSONS
- EMPLOYEES ISSUE

अरू बोर्डले अनुमति दिएको अवस्था

MATTERS TO BE REFERRED TO IN PROSPECTUS

विवरणपत्रमा खुलाउनुपर्ने कुराहरू (दफा ३२)



PROSPECTUS

- General, Financial, Legal, Management, & Expert
  सामान्य विवरण (पूँजी, निष्कासनकर्ताका कार्यहरू)
- legal action and economic condition
  कानुनी कारबाही र आर्थिक अवस्था
- management & administration
  व्यवस्थापन र प्रशासन
- expert opinions & economic statements
  विज्ञको विवरण र आर्थिक विवरणहरू



GENERAL MATTERS



LEGAL ACTION





ECONOMIC CONDITION



MANAGEMENT



EXPERT OPINION

LIABILITY & COMPENSATION FOR PROSPECTUS

विवरणपत्र सम्बन्धी दायित्व र क्षतिपूर्ति (दफा ३३)



LIABLE

- Body Corporate, Directors, & Experts Severally & Collectively Liable | **कम्पनी, सञ्चालक र विज्ञ सत्यताको लागि उत्तरदायी**



- Compensation for loss/damage due to mala fide intention, untrue or false statements
  खराब नियत, असत्य वा झुटा विवरणले भएको नोक्सानीको क्षतिपूर्ति



LIMIT



LOSS & COMPENSATION

- Petition to District Court for compensation within 35 days (after knowledge) up to 1 year
  ३५ दिनभित्र (थाहा पाएपछि) १ वर्षसम्म क्षतिपूर्तिको लागि जिल्ला अदालतमा निवेदन



DISTRICT COURT PETITION

MANDATORY CORPORATE NOTICES | (दफा ३४)

- Economic Condition & Market Price Information
  आर्थिक अवस्था मूल्याङ्कनमा सहयोगी हुने विवरण
- Capable of affecting transaction value
  कारोबारको मूल्य प्रभावित गर्न सक्ने जानकारी



- Provide info to Board & Shareholders
  बोर्ड र SUPPORTIVE TO EVALUATE
- Provide info to & Shareholders
  बोर्ड र शेयरधनीलाई बजार मूल्य जानकारी



AFFECTING TRANSACTION VALUE

REVOCATION OF ENLISTING & COMPENSATION

35



REVOCATION OF ENLISTING



SHAREHOLDER LOSS

- Stock exchange revokes enlisting of securities (failure to observe)
  धितोपत्रको सूचीकरण खारेजी (पालना नगर्दा)



- Shareholders sustain loss/damage due to revocation
  खारेजी, शेयरधनीलाई नोक्सानी, बसानी
- Directors pay compensation personally or collectively
  खारेजी, शेयरधनीलाई नोक्सानी, र सञ्चालकको दायित्व



DIRECTORS' LIABILITY

यस ऐनका अन्य व्यवस्था बमोजिम

*यस ऐनका अन्य व्यवस्था बमोजिम

Interpret and analyse the provisions relating to Stock Exchange. (Section 36 – 55)

LO	Syllabus content	Technical grid reference
LO 3c (1/2)	❖ License to be obtained to operate stock exchange ❖ Application to be made to carry on stock exchange ❖ Issue of a license to carry on stock exchange ❖ Board's duty to specify terms to operate stock exchange ❖ Power to refuse to issue license to carry on stock exchange ❖ Minimum capital and financial source ❖ Validity period and renewal of a license to carry on stock exchange	Section 36 to 42 of the Securities Act, 2063

NEPAL STOCK EXCHANGE (NEPSE) LICENSING FRAMEWORK

(Based on Securities Act)

CORE PRINCIPLES OF THE ACT

(Section 36(1) & (2))



1. **Mandate:** License must be obtained from the Board to operate a stock exchange.
2. **Restrictions:** Cannot operate, trade securities, or use the name 'Stock Exchange' without a valid license.

ऐनका मुख्य सिद्धान्तहरू

(सेयर बजार सञ्चालन गर्न बोर्डबाट अनुमति लिन अनिवार्य छ।)



APPLICATION PROCESS FOR A NEW STOCK EXCHANGE

(Section 37)

37(1) APPLICANT: ONLY A BODY CORPORATE



Company or Corporation

निवेदक: संगठित संस्था मात्रै

(निवेदन दिने संस्था मात्र संगठित हुनु पर्छ।)



37(2) APPLICATION REQUIREMENTS



निवेदनका आवश्यकताहरू (तोकिएको ढाँचा, विवरण, कागजात र दस्तुर सहित।)

Prescribed Format, Required Details, Supporting Documents, Application Fee.



REGULATORY REVIEW

BOARD APPROVAL / LICENSE ISSUANCE



REGULATORY REVIEW → BOARD APPROVAL LICENSE ISSUANCE

INCORPORATION AS LIMITED LIABILITY COMPANY

(Section 36(5))



Incorporation only after Board Recommendation.

सीमित दायित्व कम्पनीको रूपमा दर्ता

(बोर्डको सिफारिसमा मात्र कम्पनी रजिष्ट्रारको कार्यालयमा दर्ता गर्न सकिन्छ।)

TRANSITIONAL PROVISIONS

(Section 36(3) & (4))





Nepal Securities Exchange Market (Existing)

Must apply for license within 1 year of Act starting. Continuous operation allowed during this period.

If no application, operation is NOT entitled after the period.

संक्रमणकालीन व्यवस्थाहरू

(ऐन लागू भएपछि १ वर्षभित्र निवेदन दिनुपर्ने। नदिएमा सञ्चालन गर्न पाइने छैन।)

Disclaimer: Summarized for informational purposes. Refer to the official text of the Securities Act.

38. Issuance of a License to Carry on Stock Exchange



(1) Conditions for Issuing License

The Board may issue a stock exchange license after necessary inquiry if:

- **a** Licensing serves investors and the general public or is necessary for proper operation.
- **b** The applicant body corporate fulfills the requirements under sub-section (2).

(2) Requirements for Applicant Body Corporate

- **a** Legal documents or MoA must specify stock exchange establishment and operation.
- **b** Maintain paid-up capital of at least **Rs. 50 million**, as prescribed by the Board.
- **c** Have sufficient infrastructure and facilities.
- **d** Have provisions for listing or recognizing securities.
- **e** Ensure regular transactions and protect investors' interests.
- **f** Provide proper settlement and publish transaction records.
- **g** Be able to examine complaints against its members.
- **h** Take action under Bye-laws if members fail to meet obligations.



39. The Board may Specify Terms

(1) Specification of Terms



The Board may impose necessary conditions while issuing a stock exchange, considering:

- ✔ Capital market conditions
- ✔ Healthy operation of the stock exchange
- ✔ Investors' interests

→ The stock exchange must comply with such conditions.

(2) Modification of Terms

The Board may alter or modify the conditions under sub-section (1), considering:

- ✔ Capital market conditions
- ✔ Healthy operation of the stock exchange
- ✔ Investors' interests

→ as required.



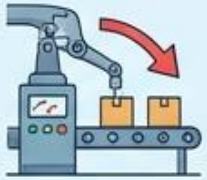
धितोपत्र बजार सम्बन्धी केही व्यवस्था
(PROVISIONS REGARDING SECURITIES MARKET)
SECTIONS 40, 41, 42

section 40. अनुमति दिन इन्कार गर्ने अधिकार (REFUSAL OF LICENSE)

(1) बजार सञ्चालन गर्न इन्कार गर्न सक्ने अवस्थाहरु:
(Conditions for refusing to operate stock exchange):



(क) उद्योग व्यवसायको विकास र कारोबारको आवश्यकता नभएमा
(Where not necessary based on industrial development & feasibility)



(ख) लगानीकर्ताको हित संरक्षणको लागि अनुचित देखिएमा
(Where not just and appropriate for protecting investor interests)



(2) कारण खुलाएर सूचना दिने
(Providing reason in notice)



इन्कार गर्नु अघि मनासिब कारणसहित सूचना दिइनेछ।
(Before refusal, a notice with reasonable grounds will be provided.)

section 41. न्यूनतम चुक्ता पूँजी र वित्तीय सोत (MINIMUM CAPITAL & FINANCIAL SOURCE)

न्यूनतम ५ करोड रुपैयाँ
(Minimum 50 Million Rupees)



पूँजी र वित्तीय स्रोत तोकिए बमोजिम हुनुपर्ने
(Capital & financial resources as prescribed).

पर्याप्त वित्तीय स्रोत कायम राख्नुपर्ने
(Adequate financial resources must be maintained.)

section 42. नवीकरण र म्याद (RENEWAL & TERM)

लाइसेन्स नवीकरण सम्बन्धी व्यवस्था
(Renewal Provisions)



लाइसेन्सको अवधि (Validity):
आर्थिक वर्षको अन्त्यसम्म
(Till end of fiscal year)





- साधारण नवीकरण (Ordinary Renewal):
  आर्थिक वर्ष सकिएको ३ महिना भित्र
  (Within 3 months of fiscal year end)
  ↳ वार्षिक शुल्क बुझाई नवीकरण गर्ने
  (Renew by paying annual fee)





- जरिवाना सहित नवीकरण (Renewal with Fine):
  थप ३ महिनासम्म २५% जरिवाना
  (Up to additional 3 months with 25% fine)
  ↳ विलम्ब शुल्क सहित नवीकरण
  (Renew with late fee)

- तुरुन्त रद्द (Immediate Termination):
  थप ३ महिना नाघेमा रद्द
  (If additional 3 months pass, cancelled)
  ↳ लाइसेन्स स्वतः रद्द हुनेछ
  (License will be automatically cancelled).



Interpret and analyse the provisions relating to Stock Exchange. (Section 36 – 55)

LO	Syllabus content	Technical grid reference
LO 3c (2/2)	❖ Transactions of recognized securities ❖ Managerial responsibility of stock exchange ❖ Functions, duties and powers of stock exchange ❖ Disclosure to be made by stock exchange ❖ Stock exchange to submit a report ❖ Stock exchange to issue direction ❖ Ceiling of securities transactions may be fixed ❖ Charge to be paid by stock exchange ❖ Stock exchange to assist board ❖ Information of action to be given ❖ Stock exchange to provide for compensation fund ❖ Provisions relating to operation of compensation fund ❖ Board to make provisions on compensation	Section 43 to 55 of the Securities Act, 2063

धितोपत्र बजार नियमावली (STOCK EXCHANGE REGULATIONS)

SECTION 43: मान्यता प्राप्त धितोपत्रको कारोबार (TRANSACTIONS OF RECOGNIZED SECURITIES)



(1)



सिफारिस वा अन्य प्रावधान
(Recognized by bye-laws or provisions)



(1) सुचीकृत धितोपत्र मात्र कारोबार
(Manage market ONLY for listed/recognized securities)



(2) अ-सूचीकृत धितोपत्र कारोबारको व्यवस्था
(Purchase/sale of unlisted securities as prescribed)



विशेष प्रावधान अन्तर्गत
(Under special rules)

SECTION 44: व्यवस्थापकीय जिम्मेवारी (MANAGERIAL RESPONSIBILITY)



सञ्चालक समितिको उत्तरदायित्व
(Responsibility of the Board of Directors)



धितोपत्र कारोबारको व्यवस्थापन
(Management of securities transactions carried on)



stock exchange

SECTION 45: कार्य, कर्तव्य र अधिकार (FUNCTIONS, DUTIES & POWERS)



(a) पारदर्शी, निष्पक्ष र नियमित कारोबार
Transparent, Fair, Regular transactions



(b) सर्वसाधारण लगानीकर्ताको हित
General public investors' interest



(c) सदस्यहरूको अनुगमन र निरीक्षण
Members monitoring & supervision
↳ ऐन र नियम पालना
(Act & rules compliance)



(d) पर्याप्त र सुविधाजनक कारोबार स्थल
Adequate & convenient transaction place



(e) कुशल र सक्षम कर्मचारी
Efficient & efficient employees



(f) आपतकालीन र सुरक्षा व्यवस्थाहरू
(Emergency & security provisions)

(g)



विनियमावली
(Bye-laws)

विनियमावली र सदस्यता
(Bye-laws & Membership arrangements)
(सञ्चालक समितिको स्वीकृतिको साथ - with Board permission)

(h) अन्य आवश्यक कार्यहरू
(Other necessary functions)



*यो जानकारी धितोपत्र ऐनमा आधारित छ (This information is based on the Securities Act).

धधितोपत्र बजार नियमावली: प्रमुख व्यवास्थाहरु
(STOCK EXCHANGE REGULATIONS: KEY PROVISIONS)

SECTIONS 46, 47: DISCLOSURE & REPORTING

४६, ४७: जानकारी र प्रतिवेदन
(DISCLOSURE & REPORTING)



46. DISCLOSURE TO BOARD — ४६. बोर्डलाई जानकारी



IMMEDIATELY REPORT MEMBER IRREGULARITIES, FINANCIAL STATUS, NON-COMPLIANCE

सदस्यका अनियमितता, वित्तीय अवस्था र पालनाबारे तत्काल जानकारी गराउने
(IMMEDIATELY REPORT MEMBER IRREGULARITIES, FINANCIAL STATUS, NON-COMPLIANCE)

47. ANNUAL REPORT — ४७. वार्षिक प्रतिवेदन



SUBMIT ACTIVITIES REPORT WITHIN 3 MONTHS AFTER FISCAL YEAR END

आर्थिक वर्ष समाप्त भएको ३ महिनाभित्र प्रतिवेदन पेश गर्ने
(SUBMIT ACTIVITIES REPORT WITHIN 3 MONTHS AFTER FISCAL YEAR END)

SECTION 48: STOCK EXCHANGE DIRECTIONS

४८. धितोपत्र बजारको निर्देशन
(STOCK EXCHANGE DIRECTIONS)



GIVE DIRECTIONS TO CORPORATE BODIES FOR FAIR TRANSACTIONS & INVESTOR INTERESTS
(GIVE DIRECTIONS TO CORPORATE BODIES FOR FAIR TRANSACTIONS & INVESTOR INTERESTS)

निष्पक्ष कारोबार र लगानीकर्ताको हितको लागि कम्पनीहरूलाई निर्देशन दिने
(निष्पक्ष कारोबार र लगानीकर्ताको हितको लागि कम्पनीहरूलाई निर्देशन दिने)

SECTION 49: TRANSACTION CEILINGS

४९. कारोबार सीमा निर्धारण
(TRANSACTION CEILINGS)



BOARD CAN FIX LIMITS ON AMOUNT OR NUMBER OF SECURITIES OWNED AT ONE TIME
(BOARD CAN FIX LIMITS ON AMOUNT OR NUMBER OF SECURITIES OWNED AT ONE TIME)

बोर्डले एकपटकमा कारोबार गरिने वा धारण गरिने धितोपत्रको सीमा तोक्न सक्छ
(BOARD CAN FIX LIMITS ON AMOUNT OR NUMBER OF SECURITIES OWNED AT ONE TIME)

SECTION 50: TRANSACTION CHARGE

५०. कारोबार शुल्क सम्बन्धी व्यवस्था
(TRANSACTION CHARGE)



50(1). COLLECT CHARGE — ५०(१). शुल्क संकलन



COLLECT & PAY SECURITIES TRANSACTION CHARGE
(UP TO 0.03% OF TURNOVER)

कारोबार शुल्क संकलन गरी बोर्डलाई बुझाउने
(कुल कारोबारको बढीमा ०.०३%)

50(2-3). PAYMENT & PENALTY — ५०(२-३). भुक्तानी र जरिवाना



PAY CHARGE AND 10% INTEREST FOR DELAY
(PAY CHARGE AND 10% INTEREST FOR DELAY)

दिएको भएमा शुल्क र १०% ब्याज बुझाउनुपर्ने
(PAY CHARGE AND 10% INTEREST FOR DELAY)

SECURITIES & EXCHANGE ACT PROVISIONS

1 Section 51: Stock exchange to assist Board

दफा ५१: धितोपत्र बजारले बोर्डलाई सहयोग पुऱ्याउनु पर्ने

Render necessary assistance and provide information or advice on securities transactions



2 Section 52: Information of action to be given

दफा ५२: कारबाहीको जानकारी दिनु पर्ने



Give informatis of the stock exchange
Give information of action (explanation demand, suspension, cancellation, fine, other) to the Board within 7 days, including member name, description, and reason.

3 Section 53: Stock exchange to provide for compensation fund

दफा ५३: धितोपत्र बजारले क्षतिपूर्ति कोषको व्यवस्था गर्नु पर्ने



5

2 Section 52: Information of action to be given

दफा ५२: कारबाहीको जानकारी दिनु पर्ने



4 Section 54: Provisions relating to operation of compensation fund

दफा ५४: क्षतिपूर्ति कोषको सञ्चालन सम्बन्धी व्यवस्था



Rules relating to: Deposits, Max amount, Accounts & audit, Claim conditions/procedures, Ineligible claims, Payment process, Max person limit, Claim examination, License revocation, Other provisions.

5 Section 55: Board to make provisions on compensation

दफा ५५: बोर्डले क्षतिपूर्तिको व्यवस्था गर्ने

If the stock exchange fails to establish or pay from the fund, the Board may establish and operate the fund or make necessary provisions.



Recognize and explain the provisions relating to License to carry on Securities Business. (Section 56 – 70)

LO	Syllabus content	Technical grid reference
LO 3d	❖ License to be obtained to carry on securities business ❖ Application for license to carry on dealing in securities ❖ License to be issued by board ❖ Board to specify terms and conditions ❖ Power to refuse to issue a license to carry on securities business ❖ Validity and renewal of a license to carry on securities business ❖ Power to prescribe for carrying on securities business through a subsidiary company ❖ Types of securities business ❖ License not to be issued to carry on securities business without specifying agent ❖ Formal agent ❖ Rights of securities business person ❖ Minimum capital and financial source of securities business person ❖ To maintain records of securities business persons ❖ Records of formal agents ❖ Information to be given by business person on circumstances	Section 56 to 70 of the Securities Act, 2063

CHAPTER 5: PROVISIONS RELATING TO LICENSE TO CARRY ON SECURITIES BUSINESS

1 SECTION 56: LICENSE TO BE OBTAINED



Any company wishing to carry on securities business must obtain a license from the Board.

NO LICENSE = NO SECURITIES BUSINESS

Any company wishing to carry on securities business must obtain a license from the Board.

An unlicensed person or entity on securities busiess trying trying to trade.

No person or entity can carry on securities business without a valid license.



2 SECTION 57: APPLICATION FOR LICENSE



APPLICATION MUST INCLUDE:

- Type of securities business & services proposed
- Details of agents & collaborative arrangements
- Recommendation letter from concerned stock exchange
- Evidence demonstrating capability
- Any other information required

3 SECTION 58: LICENSE TO ISSUE & REQUIREMENTS



THE BOARD CONDUCTS INQUIRIES

FACTORS CONSIDERED BY THE BOARD:

3A ORGANIZATIONAL CAPACITY

- Ability to conduct securities business
- Qualifications and training of appointed agents

3B FIT AND PROPER ASSESSMENT

- Chief Executive Officer (CEO)
- Directors
- Relevant Officers
- Agents

EVALUATION CRITERIA:

- Financial Status
- Educational Qualifications,
- Training & Experience
- Relevant Business Experience
- Social Status and Character

4 SPECIAL PROVISIONS

PUBLIC COMPANY REQUIREMENT



Other Than

- Securities Brokerage
- Investment Consultancy Services

License issued only to a Public Limited Company OR a Body Corporate established under prevailing laws.

5 POWER TO RESTRICT ACTIVITIES

TYPES OF SECURITIES BUSINESS



- A Board member restricts
-
-

IN THE INTEREST OF THE CAPITAL MARKET AND INVESTORS

Board may issue a license subject to restrictions preventing certain types of activities.

SECURITIES BUSINESS LICENSE REGULATIONS: OVERVIEW OF SECTIONS 59, 60, & 61

PARTS

SECTION 59: BOARD TO SPECIFY TERMS & CONDITIONS

POWER OF THE BOARD
Impose necessary terms considering:
- Capital market condition
- Healthy operation
- Protection of investors' interests

DUTY OF LICENSE HOLDER
Every securities business person must comply

MODIFICATION
Board may modify or alter at any time based on similar conditions

SECTION 59

SECTION 60: POWER TO REFUSE TO ISSUE A LICENSE

INSOLVENCY
Applicant company insolvent, unable to repay debts

INCOMPLETE APPLICATION
Application missing required documents or information

FAILURE OF FIT & PROPER ASSESSMENT
Board considers it inappropriate after Section 58(2) review

GOVERNMENT

SECTION 61: TERM & RENEWAL OF LICENSE

VALIDITY
Valid only until end of fiscal year

RENEWAL REQUIREMENT
Renew within 3 months from fiscal year-end by paying annual fee

LATE RENEWAL
Within next 3 months: Annual Fee + 25% Fine

REVOCATION OF LICENSE
If not renewed even in extended period: Revoke & Public Notice

SECTION 61

SECTION 62

POWER TO PRESCRIBE FOR CARRYING ON SECURITIES BUSINESS THROUGH A SUBSIDIARY COMPANY

Government of Nepal may, on the recommendation of the Board and by notification in the Nepal Gazette, prescribe that a bank or financial institution shall carry on securities business **only through its subsidiary company.**

RESTRICTION:

Such subsidiary company shall not be entitled to do other acts **except the dealing in securities.**



SECTION 63

TYPES OF SECURITIES BUSINESS

For the purposes of this Act, securities business shall be divided into the following types:

1. Securities Brokerage
2. Securities Trade
3. Issue and Sales Management
4. Investment Management
5. Investment Consultancy Service
6. Collective Investment Fund Management
7. Securities Registration, Securities Central Depository Service or Custodial Service
8. Services Relating to Settlement of Securities Transactions
9. Market Maker
10. Any Other Business Specified by the Board as Securities Business

The scope and other provisions of the securities business referred to above shall be as prescribed.

SECTION 64

LICENSE NOT TO BE ISSUED TO CARRY ON SECURITIES BUSINESS WITHOUT SPECIFYING AGENT

1 SECURITIES BROKER

No license shall be issued to carry on securities business as a securities broker without specifying **at least one person** to act as an **agent** of the securities broker.

2 SECURITIES TRADER

No license shall be issued to carry on securities business as a securities trader without specifying **at least one person** to act as an **agent** of the securities trader.

3 COLLECTIVE INVESTMENT SCHEME AND INVESTMENT FUND MANAGEMENT

No license shall be issued to carry on securities business relating to collective investment scheme and investment fund management without specifying at **least one person** to act as an **agent** of the scheme manager.

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The procedures to be fulfilled in specifying an agent by a securities business person, qualification of the agent and provisions relating thereto shall be as prescribed.

SECTION 65: FORMAL AGENT
(SECURITIES BUSINESS PERSON'S AGENT)

STEP 1: REGISTRATION REQUIREMENT
(SUB-SECTION 1)



APPOINTMENT MUST BE REGISTERED WITH THE BOARD

Only after registration is the person deemed a formal agent.

STEP 2: BOARD NOTIFICATION
(SUB-SECTION 2)



1. BUSINESS PERSON INFORMS BOARD OF APPOINTMENT
2. AGENT INFORMS BOARD OF AGREEMENT TO BE AN AGENT.

STEP 3: BOARD REGISTRATION & CERTIFICATE
(SUB-SECTION 3)



1. MAKES ENTRY IN REGISTER: Name, Address, Details
2. ISSUES AGENT REGISTRATION CERTIFICATE.

STEP 4: CANCELLATION & RETURN
(SUB-SECTION 4)



1. CANCELLED FOR ANY REASON: Give info to Board immediately
2. AGENT RETURNS CERTIFICATE: Within 7 Days.

SUB-SECTION 5: ULTIMATE RESPONSIBILITY



The securities business person who appoints a formal agent shall be responsible for all acts done by such a formal agent.

SECTION 65

OVERVIEW OF KEY SECTIONS: SECURITIES ACT

SECTION 66: RIGHTS OF SECURITIES BUSINESS PERSON

RIGHTS & LICENSE

RIGHT TO HEARING
No suspension/revocation without reasonable opportunity of hearing.

WRITTEN NOTICE & DETAILS
Written information required for suspension/ revocation, stating reasons, effective date, and period (for suspension).

RIGHT TO APPEAL
Dissatisfied persons can appeal to the Appellate Court within 35 days of the decision.

SECTION 67: MINIMUM CAPITAL & FINANCIAL SOURCE

FINANCIAL REQUIREMENTS

MAINTAIN MINIMUM CAPITAL
Securities business persons must maintain prescribed minimum capital and financial

IMMEDIATE BOARD NOTIFICATION
Report immediately to the Board if failing to maintain requirements.

BOARD'S ORDERS & DIRECTIVES
Board may order maintenance of requirements or give other directives.

SECTION 68: RECORDS OF SECURITIES BUSINESS PERSONS

BOARD'S REGISTER

REGISTER & UPDATED RECORDS
Board maintains an updated register of all licensed securities business persons.

2 SPECIFIED MATTERS

- Names & Addresses
- License Date & Type
- Terms & Conditions
- Agents & Officers
- Shareholder Details
- Documents Location etc.

SECTION 69: RECORDS OF FORMAL AGENTS

AGENTS REGISTER

REGISTER OF AGENTS
Board maintains an updated register of all formal agents.

2 MATTERS IN REGISTER

- Name & Address of Agent
- Registration Date
- Name & Address of Appointing Person
- Other Details

SECTION 70: INFORMATION TO BE GIVEN

MANDATORY REPORTING

GIVE WRITTEN INFORMATION TO THE BOARD WITHIN 7 DAYS OF OCCURRENCE

(a) Ceasing Securities Business

(b) Agent Ceases Capacity

(c) Any Alteration to Register Details

Securities Act 2063 (Minimum Paid Up Capital Requirements)

S.N.	Securities business person / activity	Minimum paid-up capital	Reference
1	Stockbroker – limited-function service	Rs. 20 Crores	Schedule 9 of the Securities Businessperson (Stockbroker and Stock Dealer) Regulations, 2064, as amended
2	Stockbroker – full-function service	Rs. 60 Crores	
3	Securities dealer	Rs. 150 Crores	
4	Issue manager	Rs. 5 Crores	Schedule 9 of the Securities Businessperson (Merchant Banker) Regulations, 2064, as amended
5	Securities underwriter	Rs. 7 Crores	
6	Share registrar	Rs. 3 Crores	
7	Investment manager / portfolio manager	Rs. 5 Crores	
8	Institutional / corporate consultant	Rs. 3 Crores	
9	Sponsoring organisation establishing a collective investment scheme	Rs. 200 Crores	Rule 3(2)(b), Collective Investment Scheme Regulations, 2067, as amended

Interpret and evaluate relevant provisions of Securities Regulation.

LO	Syllabus content	Technical grid reference
LO 3e	❖ Relevant provisions of Securities Regulation	Various securities regulations with linkage of section 1 to section 70 of the Securities Act, 2063

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Power to Frame Rules

Rule-Making Authority of the Board



Topics on which Rules may be made (116(2)):

- Securities registration & issuance permission
- License for stock exchanges
- License for securities business
- Operation of collective investment schemes
- Terms & conditions of Board employee service
- Financial operation & accounts of the Board
- Operation of compensation fund
- Minimum financial resources for securities dealers
- Client money accounts & records
- Suspension, delisting or transfer of securities
- Other investor protection & capital market provisions
- Takeover / management control via share acquisition

Note: Government approval is mandatory — the Board cannot unilaterally enact binding rules.

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Power to Frame Bye-laws

Stock Exchange Bye-law Authority

STOCK EXCHANGE
Frames the Bye-laws → **Board Approval Required**

Subjects covered by Bye-laws:

(a) Listing & Transactions

Rules for enlisting securities and how listed securities are traded on the exchange

(b) Membership

Membership eligibility, membership fees, and professional ethics / conduct of members

(c) Transparency & Monitoring

Provisions for fair and transparent operations, employee conduct, and market inspection

Note: Bye-laws are subject to both the Act and the Rules — forming a three-tier regulatory hierarchy.

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To Frame and Enforce Directives

Board's Directive-Making Power

Regulatory Hierarchy: Act → Rules → Bye-laws → Directives (Guidelines)

Topics on which Directives may be issued:

- **(a)** Securities registration & issuance permission
- **(b)** Securities issuance & sales arrangements
- **(c)** Securities allotment / distribution
- **(d)** Professional ethics of market participants
- **(e)** Other matters relating to the regulation of securities transactions

Note: Sub-section (2): Compliance with Board directives is a LEGAL DUTY for all concerned.

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